Y= income

b= MPC (Marginal prosperity to consume) = 0.8 = $\frac{\Delta c}{\Delta y}$

The given table shows that consumption is an increasing function of income because consumption expenditure increases with increase in income. Here it is shown that when income is zero, people spend out of their past savings on consumption because they must eat in order to live (Autonomous Consumption).

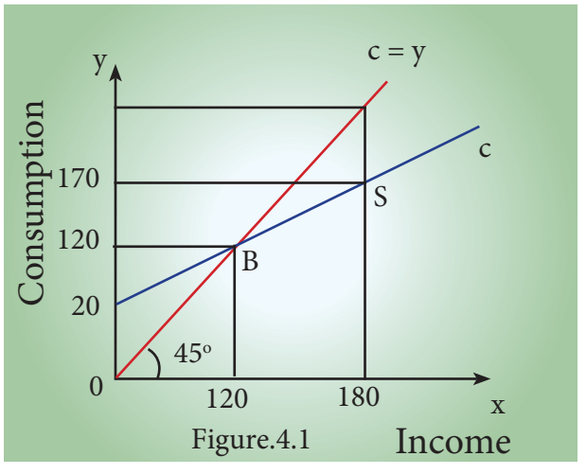


Figure.4.1

Here, when y = 120, C = 120 (Point B is the diagram)

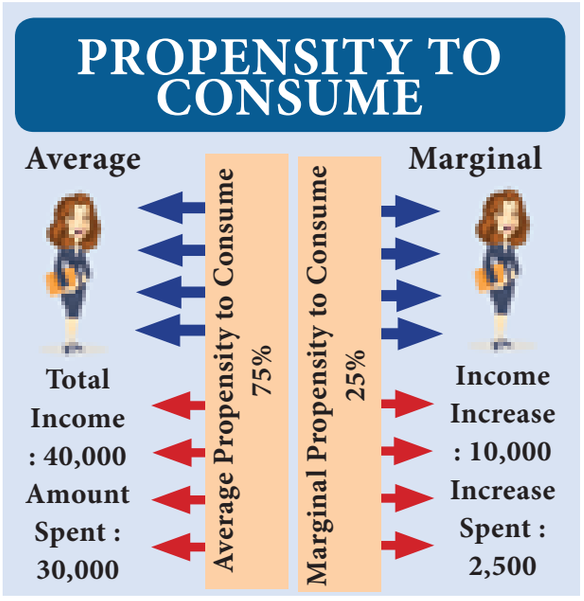
When y = 180, C = 170, S = 10 (Point S is the diagram)

If Y increases to 360, C = 320, S = 40

In the diagram, income is measured horizontally and consumption is measured vertically. In 45 line at all levels, income and consumption are equal. It is a linear consumption function based on the assumption that consumption changes by the same amount as does income.

Thus the consumption function measures not only the amount spent on consumption but also the amount saved. This is because the propensity to save is merely the propensity not to consume. The 45° line may therefore be regarded as a zero-saving line, and the shape and position of the C curve indicate the division of income between consumption and saving.

4.2.2 Technical Attributes of the Consumption Function



(i) The Average Propensity to Consume= $\frac{c}{y}$

(ii) The Marginal Propensity to Consume = $\frac{\Delta c}{\Delta y}$

(iii) The Average Propensity to Save= $\frac{s}{y}$

(iv) The Marginal Propensity to Save = $\frac{\Delta s}{\Delta y}$

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